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Title

Semantic Model

The Economy

Capital Rotation

Crisis Funding

This Time is Different

Playbook

From Raw Data to Executive Insights

This report connects 11 data sources, 100K+ records, and 50 years of economic history into a single semantic model. Built on Federal Reserve FRED data, Crunchbase venture records, and US Treasury figures — it transforms complex financial signals into a narrative any stakeholder can follow.

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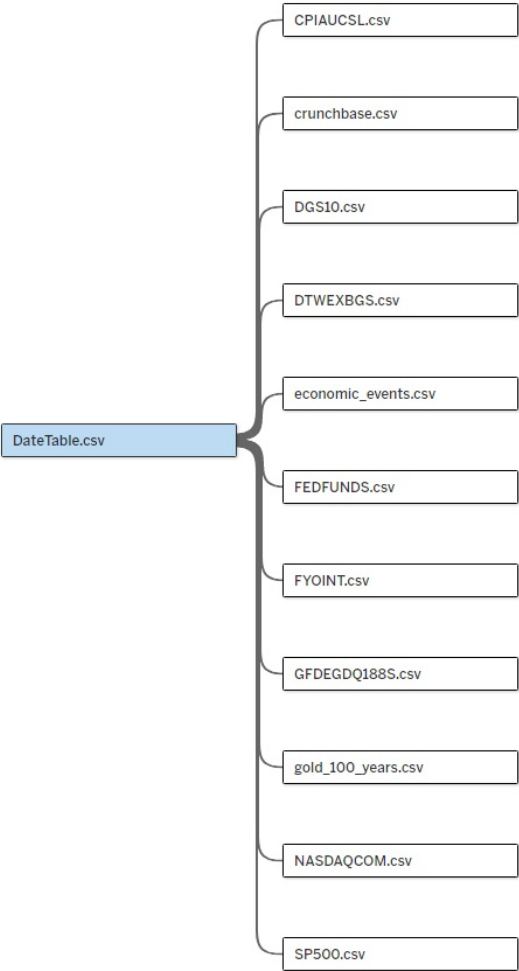
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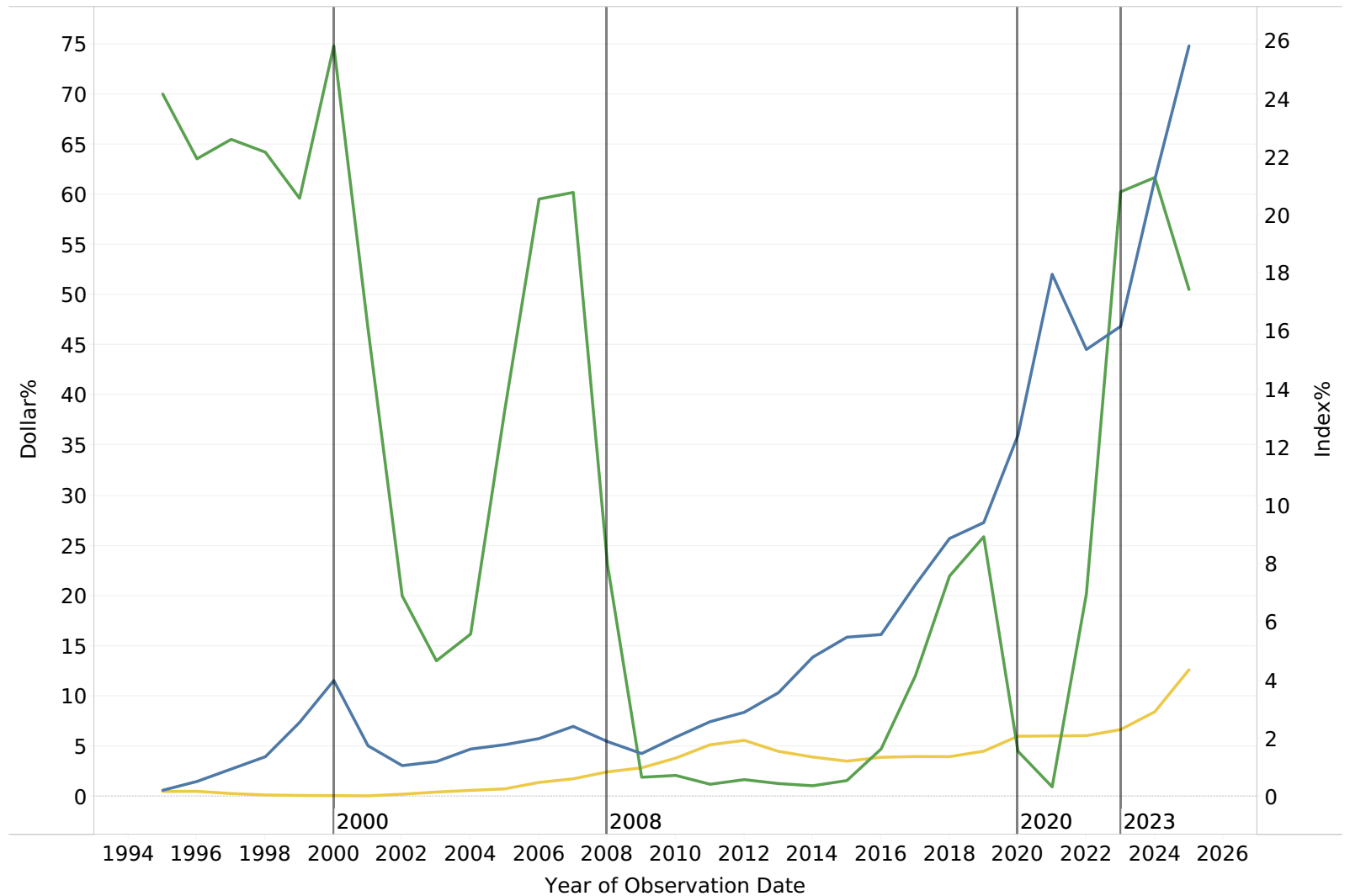
This report uses a date spine schema to connect its data. Each table is 100k+ records that are filtered by date dimension. The only exception to this is the 'economic events' table which is used to sort all data in the interactive chart in crisis funding.

The measures table is not connected to the data spine. It holds all calculated measures. Not all calculated measures were used in the final product. They were left in the model for future upgrades.



50 Years of Rate Cycles: The Economy Always Comes Back

The Federal Reserve raises and lowers interest rates in response to inflation, recession, and crisis. Markets fall, gold rises, and then the cycle resets. This chart traces 50 years of that pattern — showing that no matter how bad it gets, the economy always recovered.



Recessions Don't Stop Capital — They Concentrate It

When the economy contracts, conventional wisdom says investment freezes. The data says otherwise. Venture funding doesn't disappear during downturns — it consolidates into the sectors investors trust most. The pie gets smaller but the slice going to core sectors gets bigger.

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Economic contractions don't eliminate investment — they filter it. When credit tightens and risk tolerance drops, capital rotates away from speculative and discretionary sectors toward those with proven demand, recurring revenue, and structural necessity. Academic research supports this pattern. Sarwar, Mateus, and Todorovic (2017) demonstrated using Fama-French five-factor models that non-cyclical sectors generate statistically significant positive alpha during monetary tightening cycles while cyclical sectors underperform. Fidelity's Asset Allocation Research Team, analyzing 12 business cycles since 1945, found that Health care, Consumer Staples, and Utilities consistently outperform during recession phases while Technology, Financials, and Consumer Discretionary decline.

The mechanism is consistent across cycles: sophisticated investors rotate, they don't retreat. Understanding where capital consolidates during stress is the foundation of the framework on the next page.

Downturns

Year	Event	Performance Rank					
		Bottom	Second Bottom	Second Top	Top		
2000	Dot-com crash	Technology -41	Consumer Discretionary -22	Consumer Staples 2	Energy 18		
2008	Financial crisis	Financials -55	Consumer Discretionary -33	Health Care -23	Consumer Staples -15		
2020	COVID crash	Energy -37	Financials -4	Health Care 14	Technology 44		
2022	Rate hike cycle	Consumer Discretionary -37	Technology -28	Consumer Staples -1	Energy 59		

Sarwar G., Mateus C., Todorovic N. (2017). US sector rotation with five-factor Fama-French alphas. Journal of Asset Management. Fidelity Investments AART Business Cycle Framework (2021)

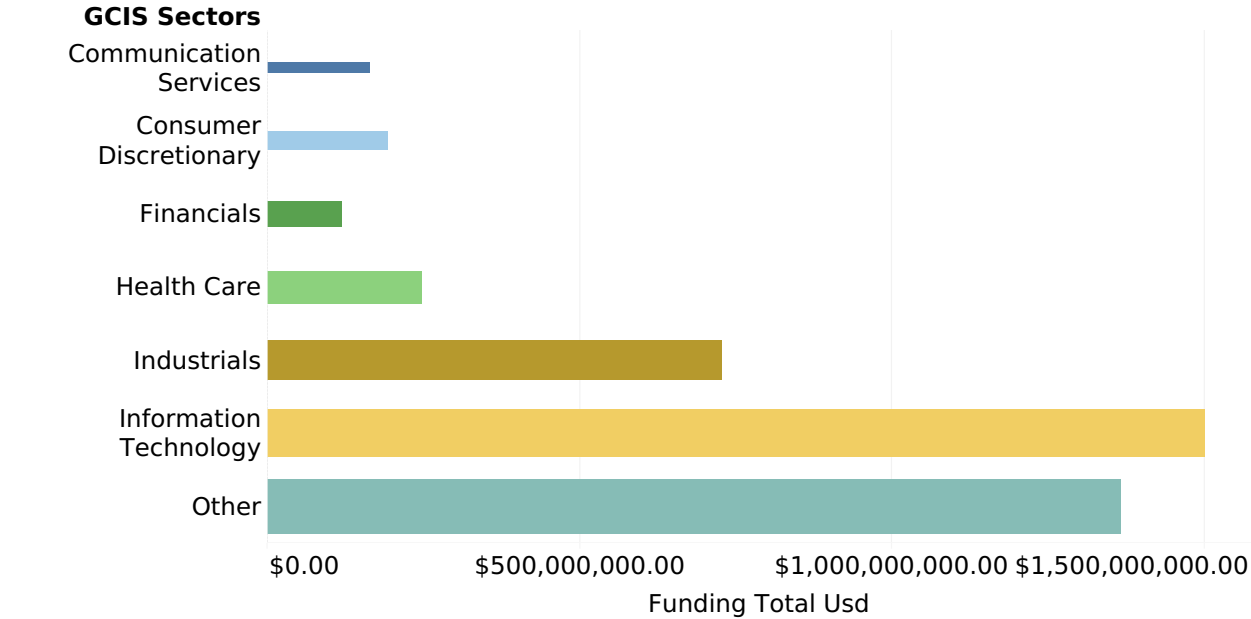
Companies Funded in Crisis Economies by Sector

Fear doesn't stop money — it redirects it. Even at the peak of every crisis in this dataset, venture capital kept flowing. The rounds got harder, but they never stopped. Click the crisis to see what which companies were funded in the worst of times.

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Year	
1997	Asian financial crisis
1998	Russian default and LTCM
2000	Dot-com crash
2001	9/11 attacks
2004	Rate hike cycle begins
2008	Financial crisis
2010	European debt crisis
2013	Taper tantrum

Total Funding
\$4,317,576,575.00



GCIS Sectors	Name	Rounds	
Communication Services	Pandora Media	5	\$56,300,000.00
	Movile	4	\$56,000,000.00
	WeatherBug	2	\$38,000,000.00
	Womensforum	1	\$7,000,000.00
	United Ambient Medi..	1	\$0.00
	Spotcast Communicat..	1	\$7,500,000.00
	ITmedia KK	1	\$0.00
Consumer Discretionary	Yoox Group	4	\$5,800,000.00
	Mediastay	3	\$21,500,000.00
	DeNA	3	\$19,362,564.00
	Cafe Press	3	\$15,500,000.00

But This Time Is Different — The Ground Itself Is Shifting

Every previous crisis was a weather event — painful but temporary. For the first time in over a century all three major credit rating agencies have downgraded the United States. The debt is structural, the interest payments are consuming tax revenue, and the d..

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S&P 2011: AAA → AA+ | Fitch 2023: AAA → AA+ | Moody's 2025: AAA → AA1

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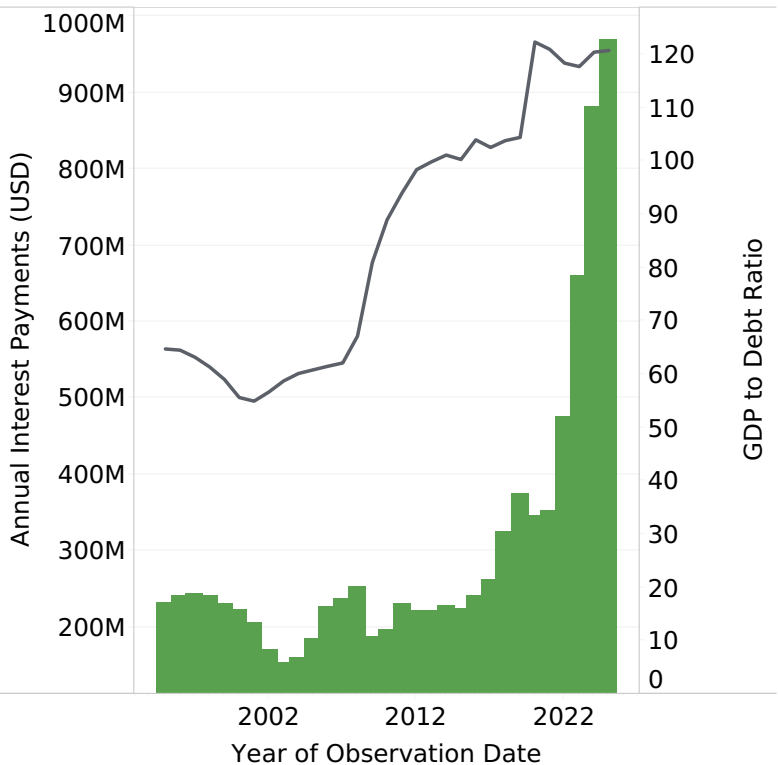
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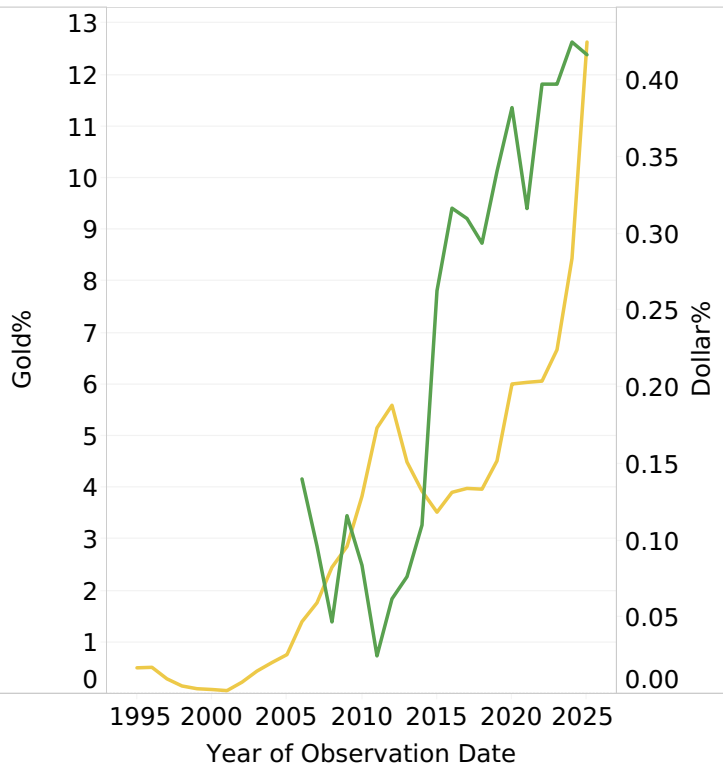
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The Debt Burden is Becoming Unaffordable



US debt now exceeds 120% of GDP while annual interest payments approach \$1 trillion. The debt existed for decades but rising rates have made it exponentially more expensive to carry.

Hard Assets Are replacing Paper Trust



Since 2020 gold has surged to all time highs while the dollar has weakened — a divergence that historically signals investors losing confidence in fiat currency. The last time gold outperformed a strong dollar environment this dramatically was during the stagflation of the 1970s.

When The Rules Change, So Does The Playbook

In a new market environment, traditional safe havens don't behave the way they used to. A long/short framework — owning what consolidates during stress and hedging what depends on cheap money — is how sophisticated investors navigate a world where the old assumptions no longer hold.

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SHORT

Sectors that depend on cheap credit and dollar stability:

Leveraged Consumer Discretionary — Depends on cheap credit and consumer confidence — both of which erode when rates stay high and purchasing power declines.

Commercial Real Estate — Built on cheap debt and remote work reversed the demand story — vacancy rates remain elevated while refinancing costs have doubled.

Late Stage Unprofitable Tech — Valuations were justified by zero interest rates — in a 4-5% rate environment the math simply doesn't work without a path to profitability.

Long Duration Bonds — When the creditworthiness of the issuer is being questioned and inflation remains sticky, holding long- dated government debt is the wrong side of the trade.

Long

Sectors that consolidate funding during stress and hold value in a new market environment:

Information Technology — Consolidates funding during every downturn in the dataset and benefits from AI-driven productivity gains that don't require cheap money to justify.

Health Care — Counter-cyclical demand that rises during economic stress and benefits from demographic tailwinds as the population ages.

Energy / Real Assets — Hard assets appreciate when the dollar weakens and energy remains essential regardless of economic conditions.

Gold — The market's oldest hedge against currency debasement — hitting all time highs precisely because institutional investors are losing confidence in paper assets.